FundHub.lu Business Plan

Standardizing the Luxembourg Fund Services Ecosystem

Executive Summary

Problem Statement: The Luxembourg "Black Box"

The Luxembourg fund ecosystem is the largest in Europe, yet the selection process for service providers remains stuck in a pre-digital era. Information on the open internet is virtually non-existent; the market relies entirely on closed referral networks and personal contacts.

They typically rely on referrals from the law and consulting firms handling the fund's initial setup—a process that narrows their options to a few "trusted" partners. These referrals are frequently pre-agreed, creating a significant conflict of interest as law firms often receive referral fees or reciprocal benefits for directing clients to specific service providers. Alternatively, managers must manually contact providers one-by-one to solicit individual budget quotes. This disjointed, opaque process prevents any real price benchmarking and effectively traps the asset manager in a cycle of limited, non-competitive choices.

This creates the following critical market failures:

- **Severe Price Distortions and Overpayment:** Due to the near-total absence of reliable pricing benchmarks on the open internet, asset managers and corporate entities operate with minimal market references. This lack of transparency directly leads to incoming funds being routinely overcharged and overpaying for essential fund services.
- **Fragmentation of Operational and Qualitative Data:** Asset managers cannot construct a comprehensive matrix of the market. Crucial selection vectors—such as precise fee schedules, industry reputation, user reviews, client sentiment, and underlying technology stacks (e.g., specific accounting or reporting software)—remain completely fragmented, resulting in severe price and quality inefficiencies.
- **Systemic Disadvantage for Agile, High-Quality Boutiques:** Because the market functions almost exclusively via legacy word-of-mouth and localized networks, smaller, specialized, and often more cost-effective service providers struggle to win mandates. They are structurally locked out of competing on merit, technology, or fair pricing.
- **Bespoke Obfuscation Preventing Direct Comparison:** Service providers intentionally structure their service definitions, operational scopes, and fee proposals in bespoke configurations. This structural opacity makes a true "apples-to-apples" comparison impossible for buyers, keeping client opinions and historic performance hidden.
- **Structural Conflicts of Interest in the Onboarding Pipeline:** Law firms, tax advisers, and consulting practices serve as the primary gatekeepers for international capital entering Luxembourg. However, their recommendations are frequently compromised by pre-agreed referral arrangements, commission structures, or reciprocal business deals. This alignment of economic incentives creates a profound conflict of interest, funneling fund managers into pre-selected partnerships rather than independent, optimal choices.

Our Solution: The Professional Intelligence Utility

Our platform, FundHub, does not merely list companies; it fundamentally standardizes the Luxembourg procurement market. Operating as a neutral, independent data layer between asset managers, corporate entities, and service providers, FundHub replaces opaque referral loops with an objective information ecosystem.

How we solve it:

Pillar 1: The FundHub Digital Marketplace & Price Comparator Platform

The digital layer of our solution democratizes access to information through structured data transparency, serving as a comprehensive, scalable hub for the entire Luxembourg market.

- **Comprehensive Market Indexing & Data Dissemination:** FundHub lists every active service provider across all fund operational verticals. We actively prioritize the broad dissemination and divulgation of market information, turning an insular industry into an open, data-driven ecosystem.
- **Multidimensional Provider Classification Matrix:** We categorize each service provider using verified operational vectors. This allows asset managers to instantly evaluate and filter options based on:
  - **Scale & Capacity:** Verified employee headcount and operational footprint (utilizing RCS data integration).
  - **Client Portfolios:** Transparency on existing asset manager clients and track record.
  - **Tech-Stack Alignment:** Clear identification of underlying systems (e.g., eFront, Investran, Yardi) to prevent integration friction.
  - **Performance Dynamics:** Dynamic classification metrics charting price structures, service quality, client density, and technical maturity.
- **Standardized Price Benchmarking:** Instead of navigating intentionally complex pricing models, users gain access to realistic, empirical price ranges for every key service vector. This eliminates the "outsider penalty" and empowers asset managers to negotiate from a position of objective data.
- **Independent Industry Review Engine:** We operate a closed, verified system of peer reviews and industry opinions. This provides authentic qualitative feedback from active fund managers, completely independent of provider marketing budgets or pre-agreed referral incentives.
- **Knowledge Hub & AI Advisory Suite:** FundHub serves as the premier educational and research portal for Luxembourg fund operations. The platform integrates:
  - **Deep-Dive Technical Content:** High-value industry blogs, regulatory breakdown papers, and structuring insights.
  - **AI Operational Advisor:** A proprietary AI assistant designed to guide asset managers on complex Luxembourg compliance, regulatory updates, and optimal service configurations.
- **Proprietary Market Intelligence & Ecosystem Authority:** To solidify our position as the market's "Golden Record," we publish comprehensive, data-driven Industry Statistics Reports. Furthermore, we host the definitive *FundHub Market Awards*, creating an objective, prestige-driven ecosystem that incentivizes service providers to elevate their service and pricing standards.

Pillar 2: On-Demand Independent Advisory & Negotiation Representation

For premium international asset managers requiring a higher level of localized, high-touch support, FundHub offers an exclusive consultancy layer that applies our platform's intelligence directly to the negotiation table.

- **Direct Meeting Advocacy:** Upon request, our senior operational experts act as independent client-side advocates, physically or virtually accompanying the asset manager to vendor selection and pricing meetings.
- **Bespoke Fee Auditing:** We leverage our platform's proprietary macro-data to audit individual provider proposals in real-time, identifying hidden line items, inflated out-of-pocket expenses, and unnecessary service additions.
- **Conflict-Free Mandate:** Because our compensation for this service comes strictly from the buyer (Asset Manager) via a flat advisory fee or a percentage of captured savings, our neutrality is preserved. This completely insulates the client from the compromised, referral-fee-driven networks typical of the local gatekeepers.

Monetization: The "Justifiable Fee" Strategy

FundHub converts market friction into recurring revenue by utilizing a dual-engine monetization framework. We transition service providers from passive "free listings" to active, paying clients by offering clear, measurable commercial value. Simultaneously, we monetize premium asset managers through a high-margin, conflict-free consulting wrapper.

The Commercial Levers for Revenue Generation

We justify our pricing through unique value-add mechanics that optimize business development for providers and protect the bottom line for asset managers:

- **Profile Sovereignty & Data Control (SaaS Tier):** While all providers are listed for free to maximize platform traffic, paying "Pro-Account" holders gain direct control of their digital narrative. This includes the exclusive rights to modify service scopes, real-time headcounts, client milestones, and active IT/accounting software stacks.
- **The "Verified" Trust Badge:** In an industry historically governed by legacy gatekeepers, the FundHub "Verified" badge serves as an independent certificate of operational transparency, regulatory alignment, and technological readiness. Unverified profiles naturally experience lower user click-through rates.
- **Exclusive Data Intelligence Reports:** Paying, verified service providers receive proprietary, anonymized market intelligence reports quarterly. These include high-value metrics such as *"Local Fee Distribution Overviews," "Top 10 High-Growth Fund Services Requested,"* and *"Competitor Software Penetration Metrics."* This data provides an unprecedented unfair advantage for their local business development strategies.
- **The Annual FundHub Market Awards (Prestige Monetization):** The platform hosts an annual, peer-reviewed industry gala. Service providers pay structured nomination, auditing, and participation fees to compete for category titles (e.g., *"Top Specialized AIFM Admin of the Year"*). This serves as a lucrative, high-margin revenue generator driven by corporate branding budgets.
- **Independent Consulting & Negotiation Retainers (Advisory Tier):** FundHub monetizes the buy-side (Asset Managers) via on-demand, specialized advisory services. Clients pay a flat consultation retainer or a success fee based on a percentage of captured savings. This covers real-time fee auditing, vendor alignment matching, and physical representation during critical pricing workshops and vendor onboarding meetings.

Stratified Billing Structure

To maximize conversion rates, platform fees are scaled dynamically based on provider type, institutional capacity, and total addressable client volume. Contracts are executed on an annual basis, with a low-friction quarterly billing cycle to maintain predictable cash flow.

Tier Grouping	Target Entity Profile	Subscription Fee (Billed Qtr)
Tier 1: Boutique	Small Law Firms, Niche Tax Advisors, HR Consultants	Flat Rate (e.g., €500 / quarter)
Tier 2: Mid-Market	Specialized Fund Admins, Third-Party AIFMs	Growth Rate (e.g., €1,500 / quarter)
Tier 3: Institutional	Global Custodians, Law firms, Depo Banks, Big 4 Auditors	Enterprise Rate (e.g., €3,000+ / quarter)
Premium Buy-Side	Active Asset Managers / Entering Funds	Bespoke Advisory Fee / Success Fee

Essential Services Categorization

To ensure structured data mapping and seamless comparative filtering across all billing tiers, FundHub indexes the Luxembourg fund services market into seven core macro-categories:

Macro-Category	Key Monitored & Indexed Services
Fund Administration	NAV Calculation, Fund Accounting, Transfer Agency, Investor Reporting, PRIIPs/KID Production
Regulatory & Compliance	AML/KYC (Investor & Entity), CSSF/BCL Reporting, Annex IV, FATCA/CRS, Risk Management
Tax & Financial	VAT Compliance, CIT Filing, Transfer Pricing, Annual Accounts Setup, Securitization Vehicle Accounting
Legal & Governance	Corp Sec, Registered Office, Director Services, RCS & RBE (Beneficial Owner) Filings, Liquidation Management
AIFM / Management	Portfolio Management, Independent Valuation, Third-Party Investment Oversight, Marketing Passporting
Institutional Banking	Depositary Bank Functions, Global Custody, Cash Management, FX Hedging, LuxSE Listing Agent Services
Support, HR & Tech	IT/Accounting Software Consultants, Helpdesk, Cybersecurity Audits, HR Sourcing, Interim Management

Data Collection & Sourcing Strategy

To fuel the core recommendation engine and service comparator, FundHub systematically aggregates qualitative, quantitative, and regulatory data across the Luxembourg asset servicing ecosystem. The parameters required for the comparison matrix are divided below by their distinct operational objectives and ingestion vectors.

Service Provider Scopes & Baseline Attributes (Web Scraping)

- **Master Directory of Service Providers:** The comprehensive universe of operating providers (ManCos, AIFMs, Fund Administrators, Depositaries, Corporate Services) active in the Grand Duchy.
- **Service Offering Categorization:** Granular mapping of individual service capabilities per provider (e.g., NAV calculation, transfer agency, regulatory reporting, domiciliation).
- **Geographical Footprint & Presence:** Global corporate reach and specific list of target countries where the service provider maintains active physical operational hubs or office networks.
- **Primary Source:** Continuous automated web scraping loops targeting corporate service provider portals, combined with structured validation of public marketing collateral.

Corporate Standing, Human Capital, and Client Analytics (RCS & RESA)

- **Top Client Profiles & Service Mandates:** Identification of key institutional funds and asset managers serviced by each firm, detailing the specific mandates they fulfill.
- **Total Number of Clients:** The volume of active fund structures, sub-funds, or corporate mandates actively managed within the provider's local portfolio.
- **Historical Operational Longevity:** The exact number of years operating in the local market, computed directly from the official date of incorporation.
- **Physical Infrastructure Location:** Official registered office coordinates, localized operational center addresses, and geographic distribution across Luxembourg hubs (e.g., Kirchberg, Cloche d'Or, Belval).
- **Local Headcount Density:** The exact number of employees registered to the local entity, signaling operational scale, automation levels, and capacity limits.
- **Primary Source: Luxembourg Business Registers (LBR / RCS).** Direct extraction of the *Extrait du RCS*, coordinated articles of association, and mandatory annual financial statement filings.
- **Secondary Source: Recueil Électronique des Sociétés et Associations (RESA).** Monitored daily via automated scraping hooks to catch sudden board shifts, liquidation proceedings, or structural restructuring.

Regulatory Standing, Tech Capabilities, and Reputation (Specialized Registries)

- **Regulatory Licenses & Authorizations:** Active legal permissions issued by the supervisory authority (e.g., Chapter 15 ManCo, authorized AIFM, specialized PSF, Depositary status) and permitted target asset types.
- **Core Technology Stack:** The underlying software architectures utilized for administration and reporting (e.g., eFront, Yardi, Investran, Multifonds).
- **Internet Popularity & Digital Sentiment Indicator:** Quantitative brand traction metrics, search volume frequencies, digital presence growth velocity, and general ecosystem engagement parameters.

- **Industry Awards & Market Recognition:** Verified corporate accolades, industry performance awards, and formal recognitions won within the global and European fund services space.
- **Primary Source: Commission de Surveillance du Secteur Financier (CSSF)** registers for legal licenses; targeted B2B technology tracking portals, digital search metrics, and major fund media platforms for market reputation.

Commercial Parameters & Proprietary Evaluation (Internal Assessment)

- **Estimated Assets under Management (AuM)**:** The overall scale of assets serviced or administered locally, approximated using fund structure profiles and active regulatory filings.
- **Gross Price of the Service:** Raw pricing benchmarks, fixed baseline setups, recurring annual administration retainers, and basis-point variables.
- **Internal Rating System Matrix:** FundHub's proprietary multi-factor scorecard evaluating operational efficiency, technological responsiveness, SLA adherence, and delivery quality.
- **Proprietary Pricing Indicators:** Dynamic price-to-value indicators calculated internally by normalizing provider fee schedules against real-world client transaction metrics and complexity levels.
- **Primary Source: FundHub Proprietary Assessment Engine.** Compiled via double-blind client RFP audits, historical invoice analysis loops from incoming asset managers, and verified ecosystem partner data.
- **Legal Framework & Entity Capacity (Public Registries)**
  - **Exact Data Harvested:** Legal corporate structure, active operational status, historical corporate name changes, official registered office address, date of incorporation, and the active list of authorized board directors and conducting officers.
  - **Primary Source: Luxembourg Business Registers (LBR / RCS).** Direct extraction of the *Extrait du RCS* and annual updates.
  - **Secondary Source: Recueil Électronique des Sociétés et Associations (RESA).** Monitored daily via automated scraping hooks to catch sudden board shifts, liquidation proceedings, or structural restructuring.
- **Regulatory Authorizations & Passporting (Supervisory Bodies)**
  - **Exact Data Harvested:** Active regulatory status (e.g., Authorized Chapter 15 Management Company, Registered AIFM, Specialized PFS), authorized asset classes (Real Estate, Private Equity, Debt, Infrastructure), NACE activity codes, and cross-border marketing passporting permissions.
  - **Primary Source: Commission de Surveillance du Secteur Financier (CSSF).** Continuous cross-referencing against the CSSF's live *Public Registers of Authorised Entities and Alternative Investment Fund Managers*.
  - **Secondary Source: Registre des Bénéficiaires Effectifs (RBE).** Exercising authorized compliance access to audit corporate shareholding layers exceeding 25% to ensure platform integrity and AML alignment.
- **Operational Infrastructure & Tech-Stack (Direct Provider Mandates)**

  - **Exact Data Harvested:** Core accounting engines (e.g., eFront, Yardi, Investran), specialized reporting modules (PRIIPs/KID, Annex IV tools), active local headcount size, client concentration profiles, and InfoSec certifications (e.g., SOC 2 Type II, ISO 27001).
  - **Primary Source: Direct Provider Onboarding (Pro-Account Verification).** Collected directly from the service provider's commercial team or CTO via our structured onboarding workflow.
  - **Secondary Source: Targeted Professional Outreach & B2B Interviews.** Direct outreach to active operations employees or industry specialists to verify software usage patterns and internal resource constraints.

- **Empirical Fee Benchmarks & Qualitative Review (Ecosystem Intelligence)**
  - **Exact Data Harvested:** Baseline fixed fee schedules, variable NAV basis-point grid configurations, onboarding setup retainers, out-of-pocket overhead parameters, and qualitative peer performance ratings.
  - **Primary Source: Anonymized Client RFI Audits.** Aggregated data extracted from our premium on-demand price negotiation workshops and retrospective invoice audits conducted for incoming asset managers.
  - **Secondary Source: Closed Peer-Review Loop.** Verified, double-blind industry feedback collected exclusively from authenticated asset managers operating in the Luxembourg market, completely uncoupled from provider advertising spend.

Data Ingestion & Governance Framework

To ensure the maximum validity of the platform's outputs, data ingestion limits are controlled according to the following institutional table:

Data Layer	Sourcing Vector	Validation Frequency & SLA
Legal & Status	RCS / RESA Portal	Automated script execution every 48 hours.
Regulatory Licenses	CSSF Registries	Synchronized weekly against official CSSF datasets.
Tech-Stack & Headcount	Direct Management DDQ	Semi-annual mandatory provider validation cycle.
Pricing Indicators	Active RFI / Audit Pools	Continuous dynamic update upon closed advisory cycles.

WEB BUILDING

Overview

This section outlines the standardized service taxonomy for fund administration, management, and auxiliary corporate services within the Luxembourg fund ecosystem.

1. Fund Administration

- ▷ Fund Accounting & NAV Calculation
- ▷ Transfer Agency & Shareholder Register
- ▷ Investor Reporting & Communications
- ▷ Financial Statement Drafting & Annual Accounts

2. Corporate Governance, Domiciliation & Legal

- ▷ Domiciliation & Registered Office
- ▷ Corporate Secretarial Services
- ▷ Independent Director & Mandate Services
- ▷ RCS & RBE (Beneficial Owner) Filings
- ▷ Liquidation Management

3. Regulatory, Compliance & Risk

- ▷ AML/CFT & KYC Compliance (Investor & Entity Level)
- ▷ CSSF & BCL Regulatory Reporting
- ▷ AIFMD Annex IV Reporting
- ▷ FATCA & CRS Automatic Exchange of Information
- ▷ Risk Management Oversight & Reporting

4. Corporate Administration & Accounting

- ▷ Corporate Accounting & Bookkeeping (SPVs / HoldCos)
- ▷ Statutory Financial Statements & Consolidation

5. Tax Services

- ▷ Value Added Tax (VAT) Compliance
- ▷ Net Worth Tax (NWT) & Corporate Income Tax (CIT)
- ▷ Transfer Pricing Documentation

6. AIFM & ManCo Platform

- ▷ Portfolio Management Oversight
- ▷ Independent Asset Valuation
- ▷ Third-Party Investment Oversight
- ▷ Cross-Border Distribution & Marketing Passporting

7. Banking, Depositary & Treasury

- ▷ Depositary Services (Art. 21 AIFMD / UCITS Safeguarding)
- ▷ Cash Management & FX Hedging Execution
- ▷ Luxembourg Stock Exchange (LuxSE) Listing Agent Services

8. Professional Support Services

- ▷ IT Solutions & Accounting Software Consultancy
- ▷ Infrastructure Helpdesk & Cybersecurity Audits
- ▷ Talent Sourcing, HR & Interim Management